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General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/01

Paper 1

October/November 2025

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **all** questions.

The number of marks is given in brackets [ ] at the end of each question or part question.

Answer **all** questions.

Question 1: Japan's persistent economic difficulties

Extract 1: Japan's economic prospects following the pandemic

Following the COVID-19 pandemic of 2020–2022, the Japanese economy has been suffering from weak domestic demand and external economic pressures. Japan's real GDP growth is forecast to increase by 1.9% in 2023 and 0.9% in 2024. Domestic demand from consumers and firms is recovering slowly although demand for Japan's exports is weak partly due to disruptions to the normal workings of the global economy.

Table 1 shows the actual percentage changes in the components of Japan's aggregate demand in 2019 to 2022 and forecasts of percentage changes made by the Organisation for Economic Co-operation and Development (OECD) for the period 2023 to 2024. Table 2 provides actual and forecast data on selected macroeconomic key performance indicators (KPI) over the same periods.

Table 1: Components of Aggregate Demand, Japan, 2019 to 2024

	Yen (trillion) in current prices	% changes				
	2019	2020	2021	2022	2023*	2024*
Private consumption	304.6	−5.2	1.3	2.9	1.4	1.1
Private and government investment	142.5	−4.9	−1.5	−1.0	3.7	1.6
Government consumption	111.3	2.3	2.1	1.5	0.1	−0.9
Exports of goods and services	97.4	−11.6	11.8	4.6	2.9	2.2
Imports of goods and services		−6.7	5.1	7.4	2.4	1.8
Net exports	−1.6	−0.8	1.0	−0.6	0.0	0.0

Table 2: Selected macroeconomic KPI for Japan, 2019 to 2024

	2019	2020	2021	2022	2023*	2024*
Real GDP growth (% change)	−0.4	−4.1	2.6	1.0	1.9	0.9
Consumer price index (% change)	0.0	0.0	−0.2	2.3	2.0	1.7
Unemployment rate (%)	2.4	2.8	2.8	2.6	2.5	2.4
Content (from *Household saving ratio in Japan from 1994 to 2024*; statista.com, 2022) removed due to copyright restrictions.						
Budget balance (% GDP)	−3.0	−9.0	−5.5	−6.7	−5.9	−4.3
Government debt (% GDP)	236.4	241.3	241.6	248.0	250.6	251.8
Current account balance (% GDP)	3.5	2.9	4.0	1.8	1.1	0.9

*forecast

Sources: OECD Economic Outlook, Issue 2 and IMF datamapper, both November 2022

Successive Japanese governments and the Bank of Japan (BoJ) have opposed too much government intervention both in the domestic economy and in the external economy. The government has sought to promote economic recovery through new policy packages. These measures have included subsidies for private sector investment, particularly where there are environmental benefits. Other subsidies have been in the form of reduced energy and food costs, targeted at the most vulnerable households. The BoJ has also been actively adopting expansionary monetary policy.

Source: Adapted from OECD Economic Outlook, Volume 2022 Issue 2, 1 March 2023

Extract 2: The basic principles of 'Abenomics'

Abenomics is a commonly used term for the economic policies attributed to Japan's former prime minister, Shinzo Abe. These policies have been applied by the Japanese government since 2012 as a way of transforming the economy after two decades of minimal economic growth and deflation. These policies defy many macroeconomic conventions.

Abenomics has three so-called 'arrows':

Monetary policy
The BoJ engages in massive quantitative easing and sets negative interest rates. In contrast, the United States (US) Federal Reserve has tightened its monetary policy by pushing up interest rates. Many economists believe that this difference is a key reason for the depreciation of the yen against the US dollar. They also claim that Abenomics principles have had some success in raising Japan's inflation rate above its 2% target.

Fiscal policy
There have been moderate increases in Japan's consumption (sales) taxes. For example, the general rate changed from 5% to 8% in 2014 and from 8% to 10% in 2019. These increases were unpopular with consumers. Government debt has continued to increase; Japan now has one of the largest debt to GDP ratios in the world. Budget deficits have been the norm, with the need to increase government spending to combat the effects of the pandemic.

Structural reform
Structural reforms have been limited, especially in relation to the labour market. The economy has experienced a considerable loss of industrial capacity as many leading Japanese companies have preferred to invest abroad, particularly in neighbouring countries, but also elsewhere where labour costs are much lower. Japan's rigid labour market regulations, such as providing lifetime employment for full-time workers, restricts job opportunities for young people and women in the service sector. The result is that well-qualified young people often have little alternative but to take low-paid jobs in shops, hotels, restaurants and bars. Further structural problems include coping with a declining yet ageing population that requires additional government spending on health, social care and pensions.

At best, Abe's economic legacy can therefore be considered a glass half full.

Source: Adapted from García Herrero A. Shinzo Abe's economic legacy: a glass half full, Brusgal, 15 September 2022

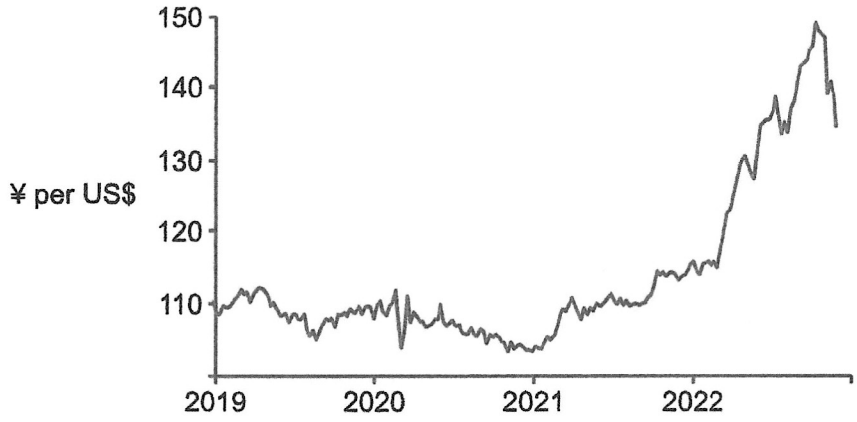
Extract 3:

Content (from *Japan's inflation hits 8-year high in test of BOJ's dovish policy*; Reuters, 2022) removed due to copyright restrictions.

Extract 4: Historic depreciation of the Japanese yen (¥)

Figure 1 shows how the yen weakened against the US dollar (US$) throughout 2022. In March, the exchange rate was ¥115 to US$1. In May, it had fallen to ¥135 to US$1. It continued to depreciate until October, when it reached just below ¥150 to US$1, a critical point in the eyes of many economists. Politically, it was a key concern. At the time, the Minister of Finance described the currency as a 'bad, weak yen', fearing a negative impact on Japan's already fragile economy. The government's concern was that the substantial depreciation would force up energy and food prices too far. This would be particularly serious due to Japan's heavy reliance on imports of both.

Figure 1: Japanese yen to US dollar exchange rate, 2019 to 2022



Source: tradingeconomics.com

Superficially, it might be expected that the export sector would benefit from the depreciation. Not so! Ongoing supply chain blockages, as a consequence of the COVID-19 pandemic, restricted the output of electronics and vehicle manufacturing companies worldwide. There was a particular global shortage of semiconductors and other essential components. Japanese companies were therefore restricted in the post-pandemic output they could export.

Source: Adapted from Akimoto D. The Diplomat, *22 November 2022*

1 (a) Using the data in Table 1

(i) calculate Japan's aggregate demand in 2019 [1]

(ii) calculate Japan's spending on imports of goods and services in 2019. [1]

(b) Using Table 1, explain how changes in exports of goods and services from 2021 to 2024 might affect **one** other component of aggregate demand in Japan. [3]

(c) Using a diagram, explain how monetary policy under 'Abenomics' would affect Japan's aggregate demand, aggregate supply and hence its real output. [4]

(d) Explain **two** possible ways in which fiscal policy under 'Abenomics' might affect Singapore's competitiveness. [3]

(e) With reference to Extract 3, discuss whether supply-side policies would have been likely to reduce Japan's inflation rate. [8]

(f) Discuss the extent to which Japan continues to experience economic difficulties following the COVID-19 pandemic of 2020 to 2022. [10]

[Total: 30]

Question 2: International tourism in ASEAN countries after the COVID-19 pandemic

Extract 5: Economic importance of international tourism in ASEAN countries

International tourism is arguably the fourth largest item in global trade. It is particularly significant in most ASEAN economies that attract international visitors from high-income countries in Western Europe and from Australia and New Zealand. There are several reasons why demand from these countries has grown. Economic growth and rising living standards have given more people greater disposable income. More affordable air transport has also been a factor as airlines have used larger jet aircraft to carry tourists to long-haul destinations. Especially relevant in ASEAN countries has been the desire of international tourists to seek a different experience from that offered in Europe and elsewhere.

In 2019, prior to the COVID-19 pandemic, tourism's contribution to GDP was significant in many ASEAN countries: 12% in Malaysia, 11% in Singapore, 6% in Indonesia and 5% in Vietnam. The pandemic hit the tourism sectors hard in most ASEAN countries, as shown in Table 3 by the fall in international tourist arrivals in 2020 and 2021. Governments had little warning of the profound effect on their economies.

Table 3: International tourist arrivals in selected ASEAN countries, millions, 2017 to 2022

	2017	2018	2019	2020	2021	2022
Indonesia	14.04	15.81	16.11	4.05	1.56	5.89
Malaysia	25.95	25.83	26.10	4.33	0.13	10.07
Singapore	17.42	18.51	19.11	2.74	0.33	6.31
Vietnam	12.92	15.50	18.01	3.69	0.00	3.66

Source: ASEANstats, 17 September 2024

In 2021, a report from the Economist Intelligence Unit (EIU) forecast that global international tourist arrivals would be expected to recover from 2022 onwards but would fail to return to 2019 levels until much later. The report noted that the market in Asia would be slower to recover compared to markets in Western Europe and North America. Three reasons were given for the difference. First, Asia was relatively slow to open its borders in 2022 and there were differing controls and rules between countries which could restrict the flow of visitors. Second, for Western European visitors especially, the cost of air travel to Asia had increased in real terms and not all air services had opened up. Third, there was a growing recognition amongst European travellers of the negative contribution to climate change of increasing long-haul travel.

The EIU noted that due to the slow recovery in international travel, the tourist industry should increasingly be looking to domestic travel to provide relief from the problems in the international market. This is fine for high-income countries in Western Europe and North America but less easy for the low-income countries that make up most members of the ASEAN organisation.

Source: Adapted from Tourism in 2022, A report by the EIU, 2021

Extract 6: Information failure in the market for international air travel

One of the principles of market economics is that consumers as decision-makers receive full and accurate information about the markets in which they are seeking to spend their limited resources. Good information is therefore critical if markets are to work efficiently.

Recent research by the UK's Behavioural Insights Team (BIT) has investigated ways in which television programmes can encourage people to be more environmentally friendly. This research aims to come up with ways to change people's attitude and actions by making small changes to their lives. Consumers are discouraged from taking long-haul flights by television programmes that show how carbon emissions from international air travel contribute to the climate crisis.

The BIT report suggested that 63% of all future emissions were in one way or another behavioural. In particular, the report stressed the need to change attitudes to the way in which people travel. It was reported that if at least one in ten television viewers in the UK avoided taking just one medium-length flight, a significant 258m tonnes of CO_2 emissions could be saved. Researchers believe that television programmes can educate and inspire people to change their behaviour to encourage sustainability.

Source: Evidence-based guide for broadcasters, Behavioural Insights Team, 2021

Extract 7: Tourism multipliers in selected countries in Asia

Over many years, academic research has investigated the economic impact of tourism on a country's economy. Such studies have involved the collection of masses of data, usually to estimate the size of the multiplier when measured in terms of income, output or employment. Estimating the value of multipliers is difficult and there are sometimes significant differences in values between seemingly similar economies.

The tourism multiplier is a specific application of the usual multiplier process. Tourist spending, for example, can have successive magnified influences on a host country's economy following an initial injection of spending by tourists.

Estimates of the size of the multiplier vary widely between countries. For Singapore, the tourism multiplier has been estimated to be 1.97; in Malaysia this multiplier has been estimated to be 2.11. Elsewhere, in Indonesia, projects centred on a tourist village produced an estimated local tourism multiplier of 2.57. Outside of ASEAN but still in Asia, tourist projects centred on a Buddhist temple in Uzbekistan produced a local tourism multiplier of 2.85.

Sources: Adapted from:
Travel & Tourism Development Index 2024,
World Economic Forum, 21 May 2024
Central Asian Journal of Innovations on Tourism Management and Finance,
Vol 3 Issue 3, March 2022
International Journal of Management, Innovation & Entrepreneurial Research,
Vol 6 no2, 1 January 2021
Tourism Analysis, Vol 22, 2017
Singapore Management University, Research Collection, 1995

Extract 8: Tourist taxes – what are they and do they work?

An increasing number of destinations around the world are introducing tourist taxes. These taxes aim to raise funds to reduce the negative effects of mass tourism and to control visitor numbers. They are controversial and far from ideal but are a response to tourist numbers that exceed the socially optimal level at a growing number of locations.

Tourist taxes are small fees usually levied indirectly through accommodation providers such as hotels or through holiday companies that arrange all-inclusive packages for tourists. The taxes are typically aimed at overnight visitors. The number of places already collecting tourist taxes is growing. Table 4 shows a small number of such places in Asia where these taxes apply.

Table 4: Examples of tourist taxes in 2023

Country	Details of tourist tax
Thailand	€8 per visit
Indonesia (Bali only)	€9 per visit
Japan	€8 departure tax
Malaysia	€4 per night

Note: The euro (€) is the common currency of most EU countries. The exchange rate between the euro and the Singapore dollar (S$) was approximately 1€ to S$1.45 in 2023.

Source: Wright R. Euronews, 11 May 2023

Bhutan has an alternative approach. Rather than a tourist tax, it requires visitors to spend at least the equivalent of €250 per day.

The purpose of these taxes is to reduce the negative effects of high volumes of tourists. These taxes can be seen as a type of 'green tax', especially if the tax revenue raised is being spent to protect natural resources and wildlife or repair damage caused by tourists.

Local residents in popular tourist destinations are affected in many ways. For example, the noise and disruption that results from overcrowding, higher rents and inflated prices in restaurants and shops, pressure on public services and the diversion of water from agriculture to tourist hotels. The result is that in recent years, there has been a growing opposition to certain types of tourism.

Collecting tourist taxes is not a difficult process. Taxes can be adjusted for different types of travellers and the costs and benefits they bring. Variations can be made for peak and off-peak seasonality; it is therefore clear why some destinations have opted to levy tourist taxes.

Will tourist taxes solve the problem? The short answer is unquestionably 'no', without addressing the core problem of sustainability. Governments should plan for tourism by taking into account the negatives of higher visitor numbers as well as the positives and accept the fact that 'more' does not always mean 'better'. Taxing tourists is a natural response when the industry fails to pay its way; while this is legitimate, it is not going to fix tourist numbers that exceed the socially optimal level.

Source: Adapted from Francis J., Tourist taxes – what are they and do they work? responsibletravel.com. 11 May 2023

2 (a) With reference to Table 3, calculate the relative fall in international tourist arrivals for the various countries between 2019 and 2022 and identify the country that has the largest relative fall. [2]

(b) Using Extract 5, explain **one** demand or supply factor for the slower recovery in international tourist arrivals in ASEAN economies compared to Western Europe and North America in 2022. [2]

(c) Using Extract 6, explain how television programmes might be used to reduce market failure that arises from international air travel. [6]

(d) According to Extract 7, the tourism multiplier for an entire country is lower than the multiplier for a specific tourist-dependent village in a country.

Explain **one** possible reason for such a difference. [2]

(e) Discuss whether taxing international visitors is the best way of controlling the flow of international tourists into ASEAN countries. [8]

(f) A low-income ASEAN country plans to attract more international tourists.

Discuss the factors that a government might consider in deciding whether this plan would be beneficial for the country. [10]

[Total: 30]

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Question 1 Figure 1	© Trading Economics; tradingeconomics.com/usdjpy:cur 21 October 2022
Question 2 Table 3	© *Visitor Arrival to ASEAN Member States by Origin Countries (in person)* data.aseanstats.org/visitors 17 September 2024
Question 2 Extract 5	© *Tourism in 2022 Forecast, Economic Intelligence Unit*; eiu.com/n/campaigns/tourism-in-2022/ 13 March 2023
Question 2 Extract 6	© Kristina Londakova et al.; *The Power of TV: Nudging Viewers to Decarbonise their Lifestyles*; The Behavioural Insights Team; bi.team/publications/the-power-of-tv-nudging-viewers-to-decarbonise-their-lifestyles/ November 2021
Question 2 Extract 7	© *Travel & Tourism Development Index 2024*, World Economic Forum, 21 May 2024 © Abdukhamidov S et al; *Evaluate the multiplier effect of the development of pilgrimage tourism using Buddhist resources based on marketing research*; Central Asian Journal of Innovations on Tourism Management and Finance, Vol 3 Issue 3; March 2022 © Karyatun S et al; *Tourist village multiplier effect studies: small scale approach*; International Journal of Management, Innovation & Entrepreneurial Research, Vol 6 no2; 1 January 2021 © Mazumder MNH et al; *Economy-wide impact of tourism in Malaysia: an input-output analysis*; Tourism Analysis, Vol 22; 2017 © Khan H et al; *The multiplier effect: Singapore's hospitality industry*; Singapore Management University, Research Collection; 1995
Question 2 Table 4	© Wright R; *Barcelona increases its tourist tax this week: Where else will you have to pay to enter in 2024?* euronews.com/travel/2024/04/01/tourist-taxes-all-of-the-countries-you-will-have-to-pay-to-enter-in-2022 11 May 2023
Question 2 Extract 8	© Francis J; *Tourist taxes – what are they and do they work?*; Responsible Travel; https://www.responsibletravel.com/copy/tourist-taxes 11 May 2023

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